



Enforcement Rules of Dispute Mediation Regulation

Formulated on January 24, 2005

Amended on March 24, 2005

Amended on November 30, 2006

Amended on February 3, 2009

Amended on July 7, 2011

Amended on October 15, 2012

Amended on May 14, 2013

Amended on May 7, 2020

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Enforcement Rules is to stipulate the matters necessary for the enforcement of the Dispute Mediation Regulation (hereinafter referred to as “the Regulation”).

§2. Definitions

The terms used in this Enforcement Rules shall have the same meanings given to them in the Regulation.

CHAPTER II. REQUEST FOR DISPUTE MEDIATION, ETC.

§3. Preparation of the Application for Mediation, etc.

(1) The application for dispute mediation and the record of dispute mediation request pursuant to [§4(6)] of the Regulation shall be in accordance with the Form 1 and Form 2 of Annex, respectively, and in case where there is an agent, the letter of attorney shall be in accordance with Form 3 of Annex. (Amended on November 30, 2006)

(2) The request for dispute mediation and the confirmation of record of dispute mediation request pursuant to [§4(6)] of the Regulation shall be made through such method as the postal service, personal delivery, facsimile, E-mail and other similar electronic communication methods.

§4. Notification of the Receipt of Request for Mediation

Upon receiving the request for mediation pursuant to [§4(6)] of the Regulation, the Chairman of the Market Oversight Commission (hereinafter referred to as “the Chairman”) shall immediately notify the petitioner of the fact about the receipt and the position title, name, telephone numbers, etc. of the employee of the Exchange who is in charge of the case through such means as the postal service, telephone, facsimile, E-mail and other similar electronic communication methods.

§5. Supplementation of Request for Mediation

(1) “The period stipulated in the Enforcement Rules” in [§6] of the Regulation shall be seven (7) days from the day when the petitioner has received the notification asking to supplement the request submitted. (Amended on February 3, 2009)

(2) In case where the petitioner does not supplement the request within the period specified in Para.(1), the Chairman may, once again, request to supplement the request by setting a period shorter than seven (7) days. (Amended on November 30, 2006)

§6. Submission Period of Opinion Statements, etc.

(1) “The period stipulated in the Enforcement Rules” in [§7(2)] of the Regulation shall be fourteen (14) days (excluding the public holiday pursuant to the Rules on Holidays of Public Agencies or Saturday). However, in case where the respondent requests an extension for the justifiable reasons, the Chairman may extend the period. (Amended on November 30, 2006; February 3, 2009)

(2) The details of request for mediation to be notified pursuant to [§7(4)] of the Regulation shall be such facts as the receipt of mediation request, the intention of and reasons for request and the submission period of opinion statement.

(3) The details of opinion statement to be notified pursuant to [§7(4)] of the Regulation shall be the objectives and details of the opinion statement submitted by the respondent.

(4) The provisions of [§4] shall be applied *mutatis mutandis* to the method of notification pursuant to Paras. (2) and (3).

§7. Investigation of Facts

(1) In cases where pursuant to [§8(4)] of the Regulation, the Chairman conducts an investigation by requesting the concerned parties and other implicated persons to appear and inquiring about the facts and background or asks the concerned parties and other implicated persons to confirm the facts or submit background information, the request shall be made in writing, stating the reasons for such requests, date to appear, types of information required, the due date for submission of information, etc. However, in case where it is deemed necessary for the speedy confirmation of facts and compilation of information, the employee of the Exchange who is conducting the investigation may visit the concerned parties and other implicated persons and make the request personally. (Amended on November 30, 2006)

(2) In case where the investigation is conducted by such methods as the visit to the concerned parties and other implicated persons and site visit pursuant to [§8(4)] of the Regulation, the employee of the Exchange who is conducting the investigation shall

carry the investigation order issued by the Commission and present it to the relevant persons. (Amended on November 30, 2006)

(3) In case where the confirmation of facts is necessary, the employee of the Exchange who is conducting the investigation pursuant to [§8(4)] of the Regulation may either collect the confirmation statement or prepare the record of interview after personally hearing the statements. In this case, in order to ensure that the statement was made voluntarily, no one shall be forced to make statements. (Amended on November 30, 2006)

(4) The “experts, etc.” stated in [§8(3)] of the Regulation shall refer to each of the following Items.

1. The person appointed as a member of deliberation committee pursuant to [§13(2)] of the Regulation
2. Of the persons who are or have been in law, finance, or data processing field, the one whom the Chairman recognizes as fit for the position

[May 14, 2013]

(5) In case where the advice from experts is necessary pursuant to [§8(3)] of the Regulation, any methods such as meeting, writing, calling, etc. may be taken.

[May 14, 2013]

CHAPTER III. CLOSING OF DISPUTE CASE PRIOR TO REFERRAL TO THE COMMISSION

§8. Notification of Legal Proceedings Launched by the Petitioner, etc.

“The matter stipulated in the Enforcement Rules” in [§9(2)] of the Regulation shall be each of the following items: (Amended on February 3, 2009)

1. The court with which the legal proceedings or the organization with which the request for mediation has been filed;
2. The date when the legal proceedings or the request for mediation was filed;
3. Serial number assigned to the legal proceedings or the case; and
4. A copy of legal proceedings or request for mediation.

§9. Withdrawal Application, etc.

(1) The application for withdrawal of mediation request pursuant to [§10(3)] of the Regulation shall be in accordance with Form 4 of Annex.

(2) In case where the petitioner makes a verbal withdrawal request, employee of the Exchange who is responsible for dispute mediation may confirm the petitioner's willingness of withdrawal through such methods as recording.

(Total amendment on November 30, 2006)

CHAPTER IV. DISPUTE MEDIATION BY THE COMMISSION

§10. Referral to the Commission and Notification Thereof

(1) In the event that the Chairman refers a case to the Commission pursuant to [§12(3)] of the Regulation, the Commission members (in case of requesting the Deliberation Committee to deliberate the case, the members of the Deliberation Committee shall be included; the same hereinafter in this Article) shall be notified of the case being referred, with the attached relevant materials. (Amended on November 30, 2006)

(2) Pursuant to [§12(3)] of the Regulation, the Chairman shall immediately inform the concerned parties of the facts about the referral to the Commission (in case of having requested the Deliberation Committee to deliberate the case, such fact shall be included), the fact that additional materials may be submitted, the list of Commission members, the fact that the request for exclusion of and challenge against a Commission member may be filed. (Amended on November 30, 2006)

§11. Tenure of Members of Deliberation Committee, etc.

(1) Pursuant to [§13(6)] of the Regulation, the term of the persons who have been appointed as a member of deliberation committee shall be two (2) years from the appointment date, and he/she may be reappointed up to two (2) times for an one-year term each time. (Amended on February 3, 2009; July 7, 2011)

(2) The persons who correspond to any of the following items shall be disqualified as a member of deliberation committee: (Amended on February 3, 2009; July 7, 2011)

1. The person who comes under the disqualification criteria stipulated in [§382(1)] of the Financial Investment Services and Capital Market Act; and

2. The person against whom the Financial Services Commission has imposed the disciplinary measures that is severer than the reprehension warning or salary reduction.

(3) The Chairman shall request the members appointed to the Deliberation Committee to submit the ethics pledge noted in Form 5-2 of Annex. [July 7, 2011]

(Wholly amended on November 30, 2006)

§11-2. Reasons for Dismissal of Committee Member

In case where the Committee member corresponds to any of the following cases, the Committee shall dismiss the concerned member:

1. After having been appointed to the Committee, when it becomes aware the fact that the concerned member comes under the exclusion causes or the concerned member came under the exclusion causes;
2. After having been appointed to the Committee, when the concerned member lost the qualifications noted in each Item of [§13(2)] of the Regulation;
3. After having been appointed to the Committee, if the concerned member has violated the obligation to keep the confidentiality noted in [§11] and obligation to maintain the integrity noted in [§13] of the Regulation for the Establishment and Operation of the Deliberation & Advisory Committees; and
4. In case where the details of qualifications submitted at the time of appointment were found to be false.

[July 7, 2011]

§12. Operation of Deliberation Committee

(1) The decisions of deliberation committee shall be made by a majority voting and a majority of members deliberating the concerned case presented. (Amended on February 3, 2009)

(2) The members of deliberation committee composed to deliberate a concerned case shall ensure that he/she does not come under the causes for exclusion noted in [§14] of the Regulation and prepare and submit the confirmation of not coming under the causes

for exclusion in accordance with Form 5-3 of Annex. [July 7, 2011]

(3) When the deliberation of case is completed, the deliberation committee shall report the result of deliberation to the Commission.

(Wholly amended on November 30, 2006)

§13. Secretary of Deliberation Committee

The secretary of Deliberation Committee shall be the head of the Department-in-charge of dispute mediation. (Amended on November 30, 2006)

§14. Exclusion of Commission Members and Members of Deliberation Committee, etc.

(1) Pursuant to [§14(5)] of the Regulation, when the concerned parties intend to request the exclusion of or challenge against a Commission member (including a member of Deliberation Committee; the same hereinafter in this Paragraph), such request shall be made within five (5) days from the receipt date of the list of Commission members. In this case, the Chairman shall make the decision whether or not to exclude or accept the challenge within three (3) days from the receipt of the request.

(2) In case where a member of deliberation committee is excluded due to the reasons of exclusion request, challenge to or voluntary exclusion pursuant to [§13(3)] of the Regulation, the Chairman, when it is deemed necessary, may replace the excluded member with another member from deliberation committee. In this case, the concerned parties shall be notified of the list of replaced member of deliberation committee. (Amended on November 30, 2006)

(3) The exclusion and challenge or evasion shall be requested in accordance with Form 5 and Form 6 of Annex, respectably.

§15. Change of Mediation Date

(1) Pursuant to [§16(3)] of the Regulation, when intending to change the mediation date due to an urgent circumstance of the Commission or the concerned parties, the Chairman may change the mediation date by obtaining the consent of concerned parties until one (1) day before the mediation date. (Amended on November 30, 2006)

(2) In case where a concerned party requests the change of mediation date, the Chairman shall rearrange the mediation date, provided that there are no inevitable reasons, and notify the rearranged date to the concerned parties.

§16. Nonappearance of Concerned Parties, etc.

Pursuant to [§17(3)] of the Regulation, in case where the concerned party did not appear on the mediation date in disregard of the Commission's request to appear, the Chairman may make the decision on whether or not to proceed with the mediation meeting. (Amended on November 30, 2006)

§17. Format of Mediation Decision Notice, etc.

The mediation decision notice, dismissal decision notice and letter of acceptance of mediation decision pursuant to [§18(5)] of the Regulation shall be prepared in accordance with Form 7, Form 8 and Form 9 of Annex. (Wholly amended on February 3, 2009)

§18. Realization of Mediation, etc.

(1) The consent statement pursuant to [§19(6)] of the Regulation shall refer to Form 10 of Annex.

(2) Pursuant to [§19(6)] of the Regulation, when the mediation of case is or is not realized, the Chairman shall notify the Commission members such outcome.

(Wholly amended on February 3, 2009)

§19. Notification of the Result of the Follow-up Actions by Member

(1) Pursuant to [§21(1)] of the Regulation, the concerned party who is the member shall report the progresses of follow-up actions such as the damage compensation, reinforcement of system and improvement of regulations according to the mediation recommendation to the Commission in writing within twenty (20) days from the realization date of mediation. (Amended on November 30, 2009)

(2) In case where the reporting of follow-up actions pursuant to Para.(1) is delayed due to an unavoidable circumstance, the concerned member shall report the fact about the delay and the reasons to the Commission in writing. (Amended on November 30, 2006)

CHAPTER V. SUPPLEMENTARY PROVISIONS

§20. Support for Legal Proceedings

(1) Pursuant to [§22(2)] of the Regulation, in case where the petitioner wishes to seek the support for launching the legal proceedings, the request for support shall be made in writing.

(2) In case where the petitioner requests the support for legal proceedings pursuant to Para.(1), the Chairman shall make the decision whether or not to provide the support for legal proceeding for the concerned case and notify such decision to the petitioner.

(3) The Chairman may establish a legal team to support the legal proceedings launched by the petitioner mentioned in Para.(1).

(4) In case where the causes noted in any of the following items occurs after making the decision to provide the support for legal proceedings, the Chairman may terminate the concerned support: (Amended on February 3, 2009)

1. Case where it was found that the document submitted or statement made at the time when the petitioner submitted the request for support for legal proceedings has been falsified;

2. Case where the petitioner failed to fulfill the responsibilities of concerned party of legal proceedings without justifiable reasons;

3. Case where it has been realized that the concerned support for legal proceedings would bring about no practical benefit or serve the public interest on the basis of the new facts found during the course of providing the support for legal proceedings; and

4. In addition, case of coming under the reasons that the Chairman established independently.

(5) In addition to Paras.(1) through (4), the details relating to the support for legal proceedings shall be in accordance with those determined separately by the Chairman.

(Wholly amended on November 30, 2006)

§20-2. Public Opinion Gathering

Public opinion gathering pursuant to [§26-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 7, 2020]

§21. Notification of Illegal Actions, etc.

Pursuant to [§27] of the Regulation, when it has been confirmed that the officers or employees of the member who is the respondent had committed the act infringing the laws or regulations in the process of dealing with the case, the Chairman may notify such finding to the respondent. [November 30, 2006]

ADDENDA
(January 24, 2005)

§1. Effective Date

This Enforcement Rules shall become effective on the date the Exchange is incorporated.

§2. Interim Measures for the Petition for Mediation, etc.

The petition for mediation filed and the notification of the fact about the receipt of application for mediation sent by the Korea Stock Exchange and the KOSDAQ Market Committee before the effective date of this Enforcement Rules shall be construed as those carried out pursuant to this Enforcement Rules.

ADDENDA
(March 24, 2005)

§1. Effective Date

This Enforcement Rules shall become effective on March 24, 2005.

§2. Exceptions to the Term of the Members of the First Deliberation Committee

Notwithstanding the amended provisions of [§11(3)], in case of the term of the members of the Deliberation Committee who are appointed for the first time since the effective date of this Enforcement Rules, the term of one half of the Committee members shall be one (1) year from the appointment date according to the decision made by the Chairman at the time of appointment.

ADDENDUM
(November 30, 2006)

This Enforcement Rules shall become effective on December 1, 2006.

ADDENDUM
(February 3, 2009)

This Enforcement Rules shall become effective on February 4, 2009.

ADDENDA
(July 7, 2009)

§1. Effective Date

This Enforcement Rules shall become effective on July 8, 2009.

§2. Exception to Application

The amended provisions of [§11(1)] shall be applied starting with the first committee member appointed after the effective date of this Enforcement Rules.

§3. Exceptions to Reappointment or Term of Office of Existing Committee Member

The existing committee member who were appointed pursuant to the former version of this Enforcement Rules as of the effective date of this Enforcement Rules may be reappointed according to the amended provisions of [§11(1)], provided that it has not yet passed four (4) years counting from the first appointment day.

ADDENDUM
(October 15, 2012)

This Enforcement Rules shall become effective on October 22, 2012.

ADDENDUM
(May 14, 2013)

This Enforcement Rules shall become effective on May 20, 2013.

ADDENDUM
(May 7, 2020)

This Enforcement Rules shall become effective on May 8, 2020.

ANNEXES

[Annex: Form 1] Application for Dispute Mediation (Amended on February 3, 2009; October 15, 2012)

Application for Dispute Mediation

(Front)

Application for Dispute Mediation				
Petitioner (Possible to fill out by the Agent)	Name (Company Name)		Date of birth (Business Registration No.)	
	Address and Contact address			
Respondent	Name (Company Name)			
	Address and Contact address			
Intention of and reasons for petition				
Pursuant to [§4(1)] of the Dispute Mediation Regulation, I hereby request the mediation of dispute. Attached: 1. Evidential documents. 2. Letter of Attorney, if there is an agent. Day/ month/ year Petitioner (seal) To: Chairman, the Market Oversight Commission The Korea Exchange				

(Back)

Development of dispute and current status:

Reference Materials:

(Back)

Development of the dispute and current status:

Reference Materials:

Letter of Attorney

Appointee:

Address

Contact address

Name (Date of birth:)

Institutional affiliation:

Position title:

In accordance with [§4] of the Dispute Mediation Regulation, I hereby appoint the above named person as my agent and delegate the authorities over the following matters with regard to the case (case no.).

1. Matters relating to the submission of materials and presentation of opinion statements to the Market Oversight Commission (the Dispute Deliberation Committee);

2. Matters relating to the decision on acceptance / rejection of the mediation recommendations by the Market Oversight Commission; and

3. (Others)

Mandator: Name (name of corporation) (seal)

Address

Date of birth (Business registration No.)

To: Chairman, the Market Oversight Commission of Korea Exchange

[Annex: Form 4] Application for Withdrawal of Mediation Request
(Amended on February 3, 2009; October 15, 2012)

Application for Withdrawal of Mediation Request

APPLICATION FOR WITHDRAWAL OF MEDIATION REQUEST				
Petitioner (Possible to fill out by the Agent)	Name (Company Name)		Date of birth (Business registration No.)	
	Address and Contact address			
Petitioner	Name (Company Name)			
	Address and Contact address			
Title of case	(Case No. xx)			
Reason for withdrawal				
In accordance with [§10(1)] of the Dispute Mediation Regulation, I hereby withdraw the request for dispute mediation. day/ month/ year Petitioner (signature or seal) To: Chairman, the Market Oversight Commission, Korea Exchange				

Request for Exclusion / Challenge

☐ Request for Exclusion / ☐ Challenge			
Title of case		Case No.	
Applicant		Commission member concerned	
Reasons for request			
Method of proof			
In accordance with [§14(4)] of the Dispute Mediation Regulation, I hereby file a request for exclusion of a member of Commission/Committee / official challenge to the member of Commission/Committee. Day/ Month/ Year Applicant (seal) Address To: Chairman, Market Oversight Commission Korea Exchange			
Required document: Documentary proof (1 copy)			

[Annex: Form 5-2] Ethics Pledge [July 7, 2011]

Ethics Pledge

To: Chairman, Market Oversight Commission
Korea Exchange

In performing the duties related to deliberation of case referred to the Dispute Mediation Committee, I, the undersigned, confirm to comply with the confidentiality requirements noted in [§11] and the integrity requirements noted in [§13] of the Regulation on the Establishment and Operation of Deliberation and Advisory Committees, and in case of failing to meet the qualifications noted in each Item of [§13(2)] of the Dispute Mediation Regulation or coming under the causes of disqualification of committee member noted in [§11(2)] of the Enforcement Rules of Dispute Mediation Regulation, I shall notify the Committee such fact without delay. In case of violating the aforementioned assurance, I shall not object the measures that the committee takes in accordance with the relevant rules and regulation, including the dismissal, and shall take responsibilities for any damage caused as a result of my failure to comply with the concerned requirements.

Year Month Day

XXXXXXX,
Member of Dispute Mediation Committee

[Annex: Form 5-3] Confirmation of Not Coming Under Causes for Exclusion
[July 7, 2011]

Confirmation of Not Coming Under Causes for Exclusion

Date of deliberation:

Case to be deliberated:

As a member of Dispute Mediation Committee, I, the undersigned, confirm that with regard to the case noted above, I do not come under the causes for exclusion noted in [§8(2)] of the Regulation on the Establishment and Operation of Deliberation and Advisory Committees and [§14(1)] of the Dispute Mediation Regulation.

Year Month Day

XXXXXXXXXXXXXXXXXXXX

Member of Dispute Mediation Committee
Market Oversight Commission

TO; Chairman, Market Oversight Commission, Korea Exchange

Request for Voluntary Exclusion

Request for Voluntary Exclusion	
Title of case	
Case No.	
Reasons	
In accordance with [§14(4)] of the Dispute Mediation Regulation, I hereby request the voluntary exclusion from the mediation (deliberation) of the above case. Day/ Month/ Year Member (seal) Market Oversight Commission (Dispute Deliberation Committee) To: Chairman, Market Oversight Commission Korea Exchange	

Notice of Mediation Decision

1. Title of Case (Case No.)
2. Concerned Parties
 - a. Petitioner:
 - b. Respondent:
3. Intention of petition:
4. Main points of decision:
5. Rationale: On the basis of the following rationale, the above decisions were made:
 - a.
 - b.

Date/ Month / Year

Chairman of Market Oversight Commission	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)

Note:

1. In case where the both of the concerned parties accept the above mediation decisions, the mediation will be realized when the concerned parties put their signatures or seals on the consent statement, or submit the signed or sealed letter of acceptance of mediation decision, which is attached, to the Korea Exchange within fifteen (15) days of receiving this record of mediation decision.
2. When the acceptance of mediation decision is not expressed as described above, it will be construed that the mediation is not realized.
3. If the member, who is the concerned party, did not accept the mediation decision, such member shall submit the written reasons for rejecting the mediation decision to the Market Oversight Commission.

[Annex: Form 8] **Notice of Dismissal Decision**

Notice of Dismissal Decision

1. Title of Case: (Case No.)
2. Concerned Parties
 - a. Petitioner:
 - b. Respondent:
3. Intention of petition:
4. Key points of decision:
5. Reasons: On the basis of the following reasons, the above decision to dismiss the request for dispute mediation was made:
 - a.
 - b.

Chairman of the Market Oversight Commission	Date/ Month / Year
Member	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)
Member	(signature or seal)

[Annex: Form 9] Letter of Acceptance of Mediation Decision
(Amended on February 3, 2009; October 15, 2012)

Letter of Acceptance of Mediation Decision

1. Title of Case: (Case No.)

2. Petitioner (Respondent):

3. Details of mediation decision:

4. I, the undersigned, accept the above details of mediation decision made by the Market Oversight Commission without objection.

5. Acceptor: (Petitioner, Respondent)
Name (Company name) (seal)
Date of birth (Business Registration no.):
Address:

Day/ Month / Year

To: Chairman, Market Oversight Commission
Korea Exchange

Consent Statement

1. Title of Case: (Case No.)

2. Concerned Parties

a. Petitioner:

b. Respondent:

3. Summary of Mediation Decision:

4. We, the undersigned, hereby accept the above mediation recommendation made by the Market Oversight Commission.

Day / Month / Year

Petitioner (seal)

Respondent (seal)

To: Chairman, Market Oversight Commission
Korea Exchange